BRIEFING

Initial Appraisal of a European Commission Impact Assessment

European Parliament

Safe, resilient and sustainable space activities

This briefing provides an initial analysis of the strengths and weaknesses of the European Commission impact assessment (IA) accompanying the Commission proposal for a regulation on the safety, resilience and sustainability of space activities in the Union. The proposal was adopted on 25 June 2025 and referred to the Committee on Industry, Research and Energy (ITRE).

KEY FINDINGS

The impact assessment (IA) defines the problems, their drivers, the objectives and the policy options of the initiative in a robust intervention logic.

The IA presents four options, proposing varying degrees of stringency in addressing the general and specific objectives (binding and non-binding measures). It is questionable whether they fully qualify as alternative options under the Better Regulation Guidelines (BRG). When comparing and scoring the options against the BRG criteria of effectiveness, efficiency and coherence, the scoring method could have been further clarified. Proportionality has not been discussed in the comparison of options. The analysis of proportionality is limited and could have been assessed in more detail.

The IA assesses the economic, social and environmental impacts of the options. The analysis encompasses both qualitative and quantitative components, and specifically focuses on the impact on small and medium-sized enterprises (SMEs) and on the international competitiveness of the EU space sector. However, it is not fully clear how mitigating measures and a 'light regime' of measures for SMEs will be applied in practice, and how coherence in the single market will be ensured.

The IA is based on several sources, including desk research, stakeholder input and external consultancy support. Some references to the data sources, especially those from external consultancy support, should have been specified more clearly for the sake of transparency. Cost and benefit estimates and assumptions could have been explained more clearly and consistently.

The proposal appears to follow the preferred policy option identified in the IA.

Background

This proposal marks the Commission's first attempt to regulate space activities at the EU level. The regulation aims to address three main challenges for space activities: safety, resilience and sustainability. On safety, the proposal introduces collision avoidance services, rules for trackability and debris-mitigation plans to secure access to space. As regards resilience, the proposal sets out specific cybersecurity requirements and risk assessments to protect space infrastructure. Regarding sustainability, operators in the space sector would need to assess the environmental impacts of their space activities based on common calculation rules and databases.

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Author: Dieter Frizberg
Ex-Ante Impact Assessment Unit

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The Commission has highlighted the need for a legislative initiative in several policy documents. The competitiveness of the space sector, as well as the necessity for greater coherence and coordination of the rules for the space sector across the single market, are discussed in the Draghi and Letta reports from 2024.[1] Recent resolutions from the European Parliament and conclusions from the Council of the EU have also addressed space and space activities.[2] The proposal was included in the 2025 Commission work programme after several delays in the preparatory phase.[3]

Problem definition

The IA starts by outlining the political and legal context of the initiative. It comprehensively explains the growing importance of the space economy in sectors such as banking, finance and insurance, energy, telecommunications, aviation, rail, security and defence, with an increasing demand for space-based data and services, globally and in the EU (IA, pp. 3–9).

Firstly, the lack of a detailed and appropriate legal framework at the international level,[4] coupled with the rapid growth in space activities and the emergence of hundreds of new space companies (known as 'New Space'), has created a growing need for regulation of these activities at the level of the EU Member States. This has resulted in a fragmented regulatory framework for cross-border space activities in the EU (e.g. regarding licensing requirements and conditions outlined in procurement and tender specifications). Currently, half of the Member States have already implemented their national space laws and more are expected to do so in the future. Secondly, space is becoming increasingly congested as a result of the growing space market, with competing private players present. The number of satellites is expected to dramatically increase in the next 10 years, leading to a higher risk of collisions. Additionally, the amount of debris in space has increased. Satellites have become vulnerable to cyberattacks and electronic interference, affecting space systems over the past years and decades (IA, p. 14). Thirdly, the space sector does not have a tailored approach to address its environmental impacts. It is dependent on reliable supply chains such as for semiconductors and raw materials.

The IA identifies **three main problems**. The first problem is the fragmentation of the single market, which hinders cross-border space activities (P1). The second problem relates to the risks for the resilience and long-term sustainability of space activities carried out by commercial and governmental bodies across the EU (P2). The third problem pertains to environmental and sustainability challenges (P3). The IA identifies four underlying **problem drivers**:

Driver 1 (horizontal): Member States follow different regulatory approaches to space safety, resilience and environmental impacts (P1, 2 and 3);

Driver 2: an increasing number of satellites and space debris (P2);

Driver 3: an inconsistent security/resilience legislative baseline, marked by uneven levels of cybersecurity protection among the Member States and the absence of a common risk-management framework between EU-owned space assets and national assets (P2);

Driver 4: the absence of a standard sector-specific method (life cycle assessment method) to estimate the environmental impacts of space activities (P2, 3).

Overall, the problem definition is clear and well substantiated, particularly by way of external consultancy support and stakeholder feedback. The IA provides a detailed analysis of most of the existing divergent space legislations in the Member States (IA, Annex 6), evidence on cybersecurity

threats to space assets (Annex 9) and recent and relevant data on space congestion and its potential risks (Annex 10). The IA examines the nature and scale of the problems, as well as who they would affect (e.g. EU satellite operators, EU operators providing launch services, EU providers of various space-based services and data, manufacturers of space infrastructure, non-EU providers of launch services established in non-EU countries) and to what extent impacts are expected (IA, Annex 4).

With the help of a problem tree and accompanying explanatory text, the IA illustrates the drivers behind the problems and the consequences arising from them (IA, p. 10). The IA provides a well-structured analysis of the existing situation and assesses the likelihood of the problem persisting without EU action. Fragmentation and barriers are expected to continue to grow. The IA anticipates, for example, that decreasing costs of access to space will enable new companies to join the space sector and foster increased cross-border activity. The IA expects more launches and an increase in space applications. Despite a strengthened EU legislative framework for cybersecurity (the NIS2[5] and CER[6] Directives), policy gaps remain (IA, pp. 20-23) and satellites will become more vulnerable to cyberattacks and collision risks. Furthermore, the lack of a common methodology to assess and quantify the environmental impacts of space activities will continue to persist (IA, pp. 25-26).

Subsidiarity/proportionality

The proposal is based on Article 114 (approximation of laws in the single market) of the Treaty on the Functioning of the European Union (TFEU). The IA includes a section on subsidiarity (IA, pp. 26-29), where it describes the legal basis and explains the necessity and added value of EU action. The IA does not include a subsidiarity grid as recommended by the Task Force on subsidiarity, proportionality and 'doing less more efficiently'. However, it does provide a more detailed analysis of the choice of the legal basis in a separate annex (IA, Annex 7), including the reasons why Article 189 TFEU (on EU space policy) is not an appropriate legal basis to support the proposal.

According to the IA, EU action is necessary to effectively address the negative effects of legal fragmentation between Member States regarding the regulation of space activities (e.g. uneven levels of protection as regards safety, resilience and environmental sustainability in national licensing requirements). A predictable and consistent legal framework would strengthen the EU space industry's competitiveness. The IA states that 'a common approach for safe, resilient and sustainable space activities at EU level could bring multiple benefits to the EU space sector' (IA, p. 28). This would include creating a level playing field by harmonising licensing conditions, facilitating the transfer and recognition of licences to provide EU-wide services and goods, ensuring a uniform level of protection of space services and data (including space infrastructure) and making the space sector more sustainable. The EU could enhance its position in negotiating and influencing the setting of standards at the global level in the areas of safety, resilience and sustainability. The deadline for the submission of reasoned opinions on the grounds of subsidiarity is 3 November 2025. No reasoned opinions have been submitted by the time of writing.

As regards **proportionality**, the IA states in fairly general terms that the initiative does not go beyond what is necessary to achieve the identified objectives and that it 'would not impose disproportionate costs that could harm the competitiveness of the EU space industry' (IA, p. 28). However, the IA does not analyse proportionality when comparing the options. Instead, the analysis is limited to the description of a 'light regime' of measures, especially for smaller companies and universities (IA, pp. 46-47 and Annex 13, pp. 167-169). Proportionality could have been assessed in more detail, given its importance for Member States as mentioned in the IA (IA, pp. 28-29).

Objectives of the initiative

The **general objective** of the initiative is to support the development and functioning of an EU internal market for the space sector. The IA lists four **specific objectives** (IA, p. 29):

- establish an EU framework for space operators in a way that provides a stable, predictable and competitive business environment that fosters innovation (P1);
- ensure trackability of space objects and reduce the amount of space debris generated by EU space operators and space operators providing their services in the EU (P2);
- create a risk assessment framework tailored to the needs of cybersecurity for space infrastructure in the EU and its Member States (P2);
- create a common method to assess and measure the environmental impacts of space activities in the EU (P3).

The general and specific objectives are consistent with the problems and drivers identified in the IA. As required by the Better Regulation Guidelines (BRG), they are clearly distinct. However, the IA indicates that the general objective – which, according to the BRG should be Treaty-based – had to be adapted and further developed following the first negative opinion of the Regulatory Scrutiny Board (see IA, Annex 1, p. 11). It is clearly focussed on Article 114 TFEU as the legal basis with additional aspects in the IA, such as providing legal certainty to space market operators, fostering competitiveness in the industry, and mitigating the risks of exponential growth in space activities, to ensure the long-term use of space.

The IA does not specifically set out operational objectives that define deliverables of specific policy actions after identifying the preferred option as envisaged by the BRG. This lack of specificity may weaken the measurability of the objectives. However, the IA provides monitoring indicators for each specific objective, which appear relevant. These indicators point to more specific deliverables of the envisaged measures on an annual basis (IA, pp. 87–88, see also the section on 'Monitoring and evaluation' below). It appears that all of the S.M.A.R.T criteria of the BRG (according to which objectives should be specific, measurable, achievable, relevant and time-bound) have been met.

Range of options considered

The IA presents a **dynamic baseline scenario** showing the future evolution of the problems if the EU does not act to address the identified regulatory and market failures (problem drivers). Essentially, it analyses the trajectory of problems that could worsen or persist without further EU action (IA, pp. 30–31). The IA comprehensively describes the existing non-binding guidelines on safety, resilience and sustainability, as well as the development of treaties governing space activities at the international level in detail (IA, Annex 8, pp. 117–118).

In addition to the baseline scenario, the IA presents **four policy options**, proposing varying degrees of stringency in addressing the specific objectives. Option 1 focuses on the development and promotion of new non-binding measures, in contrast to a legislative act, which would establish binding objectives and targets. Options 2, 2+ and 2++ share common elements, including a mix of binding and non-binding measures. This raises questions about whether they fully qualify as distinct alternative options under the BRG. The IA presents the core elements of each policy option and their corresponding measures only briefly in the main text (see IA, pp. 32–33 and Table 1 below). However, it provides a more detailed description in a separate annex, including an overview of the measures per option (IA, Annex 8, pp. 123–124). The IA describes three options discarded at an early stage

(e.g. full harmonisation of national regulations through the creation of a European licensing scheme) and it is transparent about the reasons for discarding them (IA, pp. 39-40). The options are linked to the problems, problem drivers and objectives, as required by the BRG.

Table 1 – Policy options

Policy options	Description of the policy options
PO1	**Co-regulation**: This involves the development of non-binding measures that are designed in collaboration with industry players and Member States. This approach combines legislative and regulatory measures with actions taken by the most concerned players. A legislative act would set out binding minimum targets and objectives. In addition, it would allow the industry to develop safety, resilience and sustainability labels to acknowledge the non-binding measures. Member States would be responsible for verifying, validating and certifying companies that meet the applicable standards.
PO2	**A binding framework at the EU level**: Harmonisation of certain national licensing requirements regarding safety, resilience and environmental aspects of space activities. Member States would designate national notified bodies responsible for ensuring compliance with these measures. Equal treatment of both EU and non-EU players.
PO2+	**A binding framework at the EU level (PO2) combined with non-binding measures**: This option would involve implementing the binding measures outlined in PO2. Additionally, it would entail the development of non-binding instruments, like space labels (established through a legislative act), to advance towards more ambitious targets.
PO2++	**Bilateral agreements**: This option would build on POs 2 and 2+, adding a phased approach. Step 1 would include the measures of POs 2 and 2+, while step 2 would add the conclusion of a series of bilateral agreements. The bilateral agreements with like-minded international partners would offer the legal tools for discussing aspects such as satellite licensing requirements and measures that have an impact on the safety, resilience and sustainability of space activities.

Source: Author's own compilation (IA, pp. 32-39). The preferred option is indicated in blue.

Assessment of impacts

In accordance with the requirements of the BRG, the IA assesses the economic, social and environmental impacts of the options (IA, pp. 40-75). The assessment includes qualitative and quantitative elements, with limitations in quantification comprehensively explained. The assessment of economic impacts specifically focuses on SMEs, including a 'light regime' and partly quantified support measures (see section on 'SMEs / Competitiveness' below).

In the assessment of **economic impacts**, the IA provides a detailed cost-benefit analysis and a description of the economic impacts associated with each policy option (IA, pp. and Annex 11, pp. 138-149). The main section within the IA that focuses on economic impacts could have been clearer and more structured, particularly regarding compliance and manufacturing costs. However, Annex 11 provides a more comprehensive and detailed analysis of the relevant aspects for each option: impacts on the protection of space assets; impacts on competitiveness and SMEs (with a

separate SME test in Annex 13); the functioning of the single market; employment; impacts on the private and public sectors.

According to the IA, PO1 would slightly improve the economic parameters for space operators from the baseline, especially on competitiveness, through industry-oriented solutions (industry would be the driving force behind the selection of non-binding measures). PO2 and PO2+ are expected to score highly on the protection of space assets, the functioning of the single market and employment effects. PO2++ builds on PO2 and PO2+ and is expected to score highly in terms of protection of space assets. Under this option, non-EU operators based in bilateral states – but not providing services in the EU – would still be subject to certain high-level requirements. For the preferred option (PO2+) the IA anticipates **total annual costs** (compliance, manufacturing costs, private and administrative overhead) **of €322.8 million and total annual (direct and indirect) benefits** (operational benefits, resilience benefits and regulatory simplification benefits) **of €1000.8 million**. According to the IA, the expected benefits therefore outweigh the expected costs.

The IA presents a (not quantified) 'light regime' applicable to each problem area (safety, resilience and environmental sustainability) and describes the criteria, rationale and consequences of the light regime's application by entities, such as SMEs and universities (IA, p. 46), and for satellites in very low Earth orbit (below 400 km). However, the IA should have explained better how the 'light regime' will be applied in practice and how convergence in the national approaches will be ensured, since the IA states that 'Member States could remain in charge of assessing and deciding, on a case-by-case basis, whether to approve such a light regime or not … ' in light of certain criteria (IA, p. 46).

The IA assesses the **social impacts** of the following aspects for each policy option: downstream services (i.e. services and applications that use satellite data) for EU citizens; digitalisation; governance, participation and good administration; research and innovation; resilience. PO1 would have a stronger social impact on inclusiveness compared to the baseline, particularly for smaller operators and sector associations, because the space industry would be well represented in the forum discussing non-binding measures. According to the IA, PO1 would only partially improve the protection of space-based applications, and fragmentation in the single market would continue to exist. PO2, PO2+ and PO2++ would bring additional benefits to EU citizens by increasing public trust in space services in a growing services market. They would contribute to stronger governance by harmonising certain licensing conditions and making the regulatory framework more transparent and predictable. In addition, they could contribute to stimulating innovation.

The IA analyses the potential **environmental impacts** of the policy options, focusing in particular on climate, resource efficiency, and waste production and recycling. All options envisage an assessment of the environmental impacts of the space industry and the use of a life cycle assessment (LCA) method specific to the space sector. PO1 is expected to have a limited positive impact due to the voluntary nature of the measures. PO2 and PO2+ would improve the impact of space activities on climate by making certain requirements, such as the use of a specific LCA method or the de-orbiting of satellites, mandatory. These options would contribute to reducing the use of critical materials and increasing the lifespan of space and ground assets. Recycling and waste reduction would be improved. PO2++ would produce impacts broadly aligned with PO2 and PO2+, but these impacts would be amplified at a global level.

When comparing the options, which is mainly done in a qualitative way, the IA considers their **effectiveness**, **efficiency** and **coherence**. To facilitate the assessment of the options against these criteria, the IA presents all options in summary tables showing how they score (ranging from '+3',

indicating an improvement compared to the baseline, to '-3', indicating a downgrade). Overall, the IA could have substantiated the scoring in more detail.

In terms of **effectiveness**, the measures under PO2++ would have the greatest impact on tackling the identified problems and achieving the objectives. This option is more comprehensive than the others due to potential bilateral agreements with other countries (the 'multiplier effect'). However, some of these measures would 'either have high political costs or are likely to encounter strong opposition from non-EU countries' (IA, p. 76). Therefore, the IA concludes that when it comes to effectiveness, PO2+ scores highest. In terms of **efficiency**, POs 2, 2+ and 2++ score equally high and would have the most positive impact due to the binding nature of the measures envisaged. The costs for these options are likely similar. PO2+ includes non-binding measures that would bring benefits, such as companies improving their performance through sharing new knowledge and best practices. In terms of **coherence**, POs 2, 2+ and 2++ all score higher than PO1 because of the binding measures. These measures would not only help achieve the proposal's objectives but also increase coherence with the EU Space Regulation and other relevant EU policies.[7]

After comparing the options, the IA concludes that the **preferred option is PO2+**. This option builds on PO2 but adds a framework of non-binding measures alongside the binding ones (see Table 2).

The IA illustrates how the measures of the preferred option may contribute to five United Nations **Sustainable Development Goals** (SDGs), with details on each SDG (IA, Annex 4, pp. 43-46).[8]

Table 2 – Preferred policy option 2+

Measures	Description
Satellite tracking services	Subscription to a collision-avoidance service provider and regular updates on potential changes to a satellite trajectory would be mandatory (**binding**).
Space debris mitigation	To lower the risk of congestion and collision in space, satellite and launcher manufacturers and operators will be required to submit space debris mitigation plans as well as post-mission disposal plans(**binding**).
Risk management framework	A risk management cycle tailored for all space infrastructure and assets, embedding 'cybersecurity by design' across the systems and space-mission lifecycle, complemented by risk-specific assessments for each segment and system (**binding**).
Environmental impact assessment	Development of a lifecycle assessment method based on a product environmental footprint (PEF) method for the space sector; formalised communication reporting on the environmental performance of companies in the space sector (**binding**).
Safety/resilience/ sustainability space labels	Companies would receive the labels (distinct for safety, resilience and sustainability) based on a rating mechanism reflecting the number of criteria met and how ambitious they are as compared to the threshold determined by the binding rules (**non-binding**).
Information-sharing platform	Development of information-sharing platforms/hubs to centralise, exchange and disseminate best practices on safety, resilience and environmental sustainability related to space activities, to improve capacity building (**non-binding**).
Reduction of environmental impact on space	Voluntary environmental footprint reduction plans being developed and implemented within the space industry (**non-binding**).

Source: Author's own compilation (based on IA, pp. 84-85).

SMEs/Competitiveness

Given the direct relevance of this initiative for SMEs (see SME filter, p. 21), the IA contains a four-step SME test (IA, Annex 13), as required by the BRG and Toolbox (Tool #23). The SME test identifies the different types of SMEs[9] and assesses the impact in a qualitative manner. Benefits can be achieved through various means, such as regulatory simplification, increased revenues by extending the lifespan of satellites, and improved access to funding. The IA expects costs related to technical and operational requirements, as well as a potential increase of manufacturing costs ranging from 3% to 10%. The IA states that 'for smaller actors it would be proportionally more expensive to comply with such measures' (IA, Annex 13, p. 166). The SME test includes measures to mitigate these costs and qualitatively assess their impacts on SMEs (Annex 13, pp. 167-168).[10] In addition, it proposes a 'light regime' of measures for operators who may 'face significant difficulties in complying with the requirements' (IA, Annex 13, p. 168). However, it is not fully clear how this 'light regime' will be implemented in practice and how coherence in the single market will be ensured.

The IA contains a compulsory annex on the **competitiveness check** (IA, Annex 14), which analyses the positive impacts of the preferred option on the EU space industry's innovation capacity. It examines the impacts of the preferred option on international competitiveness, concluding that 'the harmonisation of binding rules is not expected to hinder the competitiveness of the EU space industry … ' (IA, Annex 14, p. 171). However, this will only be the case if non-EU competitors globally face similar requirements in their own markets or when providing services within the EU.

Simplification, burden reduction and other regulatory implications

Currently, there is no harmonised EU legislative framework for safety, resilience and sustainability of space activities. In light of the 'one-in, one-out' approach, the initiative is expected to generate administrative costs for businesses. The IA estimates that there will be €290 million annually in direct adjustment costs and €2.4 million annually in administrative costs for businesses. It also expects that businesses will save €68 million in administrative costs over the next 10 years (IA, Annex 3, p. 34). It consistently explains the preferred option's coherence with a range of interlinked existing provisions at the EU level in a separate annex. This includes the NIS2 Directive, the Cyber Resilience Act, the EU Space Regulation and the Net Zero Industry Act (IA, Annex 12, pp. 162-164).

Monitoring and evaluation

To monitor the implementation of the proposed regulation, the IA presents a set of quantifiable monitoring indicators linked to the specific objectives (IA, pp. 87-88). This includes the degree of compliance of space activities in the single market with the proposed legislation; the number of satellites successfully disposed of at the end of their operational life; the number of significant cyber incidents mitigated; and the environmental footprint of space activities. These indicators appear relevant for achieving the specific objectives. Progress in performance would be measured on an annual basis. In addition, the IA includes a description of what a successful implementation of the proposed initiative would look like (IA, pp. 88-89). The IA envisions an evaluation that the Commission would provide five years after the regulation enters into force.

Stakeholder consultation

In accordance with the BRG, a comprehensive summary of the stakeholder consultations and an outline of the targeted groups (e.g. business associations, companies, environmental and consumer

organisations, NGOs, public authorities, trade unions, academia) are provided in a separate annex (IA, Annex 3). A targeted stakeholder consultation ran from 29 September to 2 November 2023 and received 333 responses (104 of them came from SMEs). As recommended by the BRG, the Commission conducted an open public consultation (44 responses), which should be open for a 12-week period. However, the IA indicates inconsistent consultation periods (IA, Annex 2, p. 12; Annex 3, p. 19), while the Commission's 'Have your say' website refers to a consultation period from 17 October to 28 November 2023, which appears to be the feedback period for the call for evidence.

Furthermore, the Commission conducted surveys on the safety, resilience and environmental sustainability of space activities. Additionally, it held two workshops with European space law experts along with targeted dialogues and interviews with various stakeholders.

Overall, the stakeholders' views are clearly presented and systematically referred to throughout the IA. This includes an assessment of their support for the preferred option in the targeted consultation (IA, p. 84, IA, Annex 3, pp. 18-20).

Supporting data and analytical methods used

The IA primarily relies on desk research, stakeholder input (such as the European Union Agency for the Space Programme, the European Space Agency, Cyberinflight, Euroconsult and industry associations), and external consultancy support (Deloitte and Roland Berger). Some references to the data sources should have been clearly specified, more specifically the external consultancy support, which does not seem to be publicly available and is not fully referenced in the IA.

The IA describes the analytical methods used in a dedicated annex (IA, Annex 5). It outlines the methodological approach used, which includes a cost-benefit analysis and a multi-criteria analysis. It also mentions limitations, with one limitation being that 'space-related data ... is often sensitive or non-disclosable due to the strategic nature of the industry' (e.g. information on the impacts of cyberattacks on space assets, see IA, p. 41 and Annex 5, p. 47). However, cost and benefit estimates and assumptions (e.g. expected compliance rates and take-up rates for non-binding measures, reduction of space debris over the next 10 years) could have been explained in more detail.

Follow-up to Commission Regulatory Scrutiny Board opinion

The Regulatory Scrutiny Board (RSB) issued a negative opinion on the draft IA on 13 December 2023. Following revisions, a second 'positive with reservations' opinion was delivered on 22 February 2024. In that second opinion, the RSB noted two main shortcomings: i) the IA did not present the analysis of costs and benefits clearly and consistently; and ii) the IA did not explain in sufficient detail the impacts on the competitiveness of the EU space sector, including on SMEs and start-ups.

The IA explains in a detailed table (IA, Annex 1) how the RSB's comments for both opinions were addressed. It appears that the RSB's comments were taken broadly into account in the final IA.

Coherence between the Commission's legislative proposal and IA

The proposal appears to follow the preferred policy option (PO2+) identified in the IA. However, the proposal includes a specific article on international agreements with third countries (Article 106) on matters covered by the proposed regulation, which is a core element of option 2++ in the IA.

ENDNOTES

1 E.g. European Commission, joint communication: An EU Approach for Space Traffic Management, An EU contribution addressing a global challenge, JOIN(2022) 4; joint communication: European Union Space Strategy for Security and Defence, JOIN(2023) 9; European Commission, communication: A Competitiveness compass for the EU, COM(2025) 30; The future of European competitiveness, report by Mario Draghi, 2024; Much more than a market, report by Enrico Letta, 2024.

2 Parliament resolution of 23 November 2023 on the Strategic Compass and EU space-based defence capabilities; Parliament resolution of 7 May 2025 on a revamped long-term budget for the Union in a changing world; Council conclusions on the EU space strategy for security and defence; Council conclusions on an EU approach to space traffic management.

3 See Evroux, C. and Papunen, A., European space act, EPRS, European Parliament, June 2025, pp. 2-3.

4 ibid, p. 3 and IA, pp. 7, 11.

5 Directive (EU) 2022/2555 of the European Parliament and of the Council of 14 December 2022 on measures for a high common level of cybersecurity across the Union, amending Regulation (EU) No 910/2014 and Directive (EU) 2018/1972, and repealing Directive (EU) 2016/1148 (NIS2 Directive).

6 Directive (EU) 2022/2557 of the European Parliament and of the Council of 14 December 2022 on the resilience of critical entities and repealing Council Directive 2008/114/EC (CER Directive).

7 Regulation (EU) 2021/696 of the European Parliament and of the Council of 28 April 2021 establishing the Union Space Programme and the European Union Agency for the Space Programme and repealing Regulations (EU) No 912/2010, (EU) No 1285/2013 and (EU) No 377/2014 and Decision No 541/2014/EU.

8 Annex 3 of the IA provides an overview explaining how the IA's preferred option contributes to SDGs 8, 9, 12, 13 and 17.

9 The upstream space sector in the EU, which involves the development and launch of spacecraft and other space assets, consists of 1 069 SMEs. In the downstream sector (i.e. users of space data for commercial services), the vast majority of companies are SMEs (IA, p. 165).

10 An estimated quantification of some of the mitigating measures can be found in the IA's main text (IA, Table 21, p. 62).

This briefing, prepared for the Committee on Industry, Research and Energy (ITRE), analyses whether the principal criteria laid down in the Commission's own Better Regulation Guidelines, as well as additional factors identified by the Parliament in its Impact Assessment Handbook, appear to be met by the IA. It does not attempt to deal with the substance of the proposal.

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